

Mindteck Middle East Limited SPC

Financial Statements and Independent Auditor's
Report for the Year Ended 31 March 2014

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Mindteck Middle East Limited SPC
General information

Commercial Registration Number	49063-01
Directors	Simon Christopher Dayananda Somaya Shetty Rohit Bahadur
Registered Office	PO Box 10795 Flat 44, Building 81 Road 1702, Block 317 Manama Kingdom of Bahrain
Banker	HSBC Middle East Limited
Auditor	RSM Mezan PO Box 11816 Manama Kingdom of Bahrain



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**Independent auditor's report
To the Owner of Mindteck Middle East Limited SPC**

Report on the financial statements

We have audited the accompanying financial statements of Mindteck Middle East Limited SPC ("the Company"), which comprise the statement of financial position as at 31 March 2014, the statement of comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2014, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.



RSM Mezan

Audit · Tax · Advisory

Independent auditor's report
To the Owner of Mindteck Middle East Limited SPC

(Continued from previous page)

Report on other legal and regulatory requirements

According to the Company's Articles of Association the financial year should end on 30 June, while the Company has been preparing its financial statements as at 31 March each year.

Except for the above, we report that we have obtained all the information we considered necessary for the purpose of our audit; and the Company has maintained proper books of account and the financial statements are in agreement therewith; and nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, Decree Number 21 of 2001, or of its Articles of Association, which would materially affect its activities, or its financial position as at 31 March 2014.

RSM Mezan.

2 June 2014
Manama, Kingdom of Bahrain

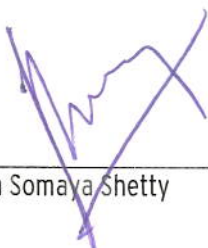
Mindteck Middle East Limited SPC

Statement of financial position as at 31 March 2014

(in Bahraini Dinars)

	Note	2014	2013
Assets			
Non-current assets			
Property, plant and equipment	5	388	1,333
		<u>388</u>	<u>1,333</u>
Current assets			
Trade and other receivables	6	98,481	75,918
Advances and prepayments	7	3,282	1,966
Bank balance	8	26,947	49,854
		<u>128,710</u>	<u>127,738</u>
Total assets		<u>129,098</u>	<u>129,071</u>
Equity and liabilities			
Equity			
Share capital	9	50,000	50,000
Statutory reserve	10	13,275	10,538
Retained earnings		(30,906)	(55,534)
		<u>32,369</u>	<u>5,004</u>
Non-current liabilities			
Employee terminal benefits	11	-	2,250
		<u>-</u>	<u>2,250</u>
Current liabilities			
Other payables	12	84,584	102,389
Accrued liabilities		12,145	19,428
		<u>96,729</u>	<u>121,817</u>
Total equity and liabilities		<u>129,098</u>	<u>129,071</u>

These financial statements were approved by the Board of Directors on 2 June 2014 and signed on its behalf by:



Dayananda Somaya Shetty
Director

Notes 1 to 18 on pages 9 to 18 form an integral part of these financial statements.

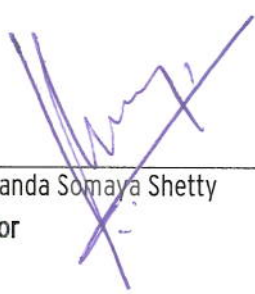
Mindteck Middle East Limited SPC

Statement of comprehensive income for the year ended 31 March 2014

(in Bahraini Dinars)

	Note	2014	2013
Income			
Revenue		388,421	335,759
Direct costs		(297,206)	(275,276)
Gross profit		91,215	60,483
Gain / (loss) on foreign exchange		133	(154)
		91,348	60,329
Expenses			
Employee cost	13	41,646	40,496
General and administrative expenses	14	21,392	18,737
Depreciation	5	945	910
		63,983	60,143
Profit for the year		27,365	186
Other comprehensive income		-	-
Total comprehensive income for the year		27,365	186

These financial statements were approved by the Board of Directors on 2 June 2014 and signed on its behalf by:



Dayananda Somaya Shetty
Director

Notes 1 to 18 on pages 9 to 18 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of changes in equity for the year ended 31 March 2014

(in Bahraini Dinars)

	Share capital	Statutory reserve	Retained earnings	Total
2013				
At 31 March 2012	50,000	10,519	(55,701)	4,818
Profit for the year	-	-	186	186
Transfer to statutory reserve	-	19	(19)	-
At 31 March 2013	50,000	10,538	(55,534)	5,004
2014				
At 31 March 2013	50,000	10,538	(55,534)	5,004
Profit for the year	-	-	27,365	27,365
Transfer to statutory reserve	-	2,737	(2,737)	-
At 31 March 2014	50,000	13,275	(30,906)	32,369

Mindteck Middle East Limited SPC

Statement of cash flows for the year ended 31 March 2014

(in Bahraini Dinars)

	2014	2013
Cash flows from operating activities:		
Profit for the year	27,365	186
Adjustments for:		
Depreciation	945	910
Employee terminal benefits	1,594	1,805
Changes in operating assets and liabilities		
Trade and other receivables	(22,563)	(4,192)
Advances and prepayments	(1,316)	1,383
Other payables	(17,805)	4,708
Accrued liabilities	(7,283)	11,714
Cash (used in) / generated from operations	(19,063)	13,812
Employee terminal benefits paid	(3,844)	-
Net cash (used in) / generated from operating activities	(22,907)	13,812
Cash flows from investing activities:		
Purchase of property, plant and equipment	-	(199)
Net cash used in investing activities	-	(199)
Net (decrease) / increase in cash and cash equivalents	(22,907)	13,613
Cash and cash equivalents at the beginning of the year	49,854	36,241
Cash and cash equivalents at the end of the year (note: 8)	26,947	36,241

1. Legal status and nature of business

Mindteck Middle East Limited SPC, (the "Company") is a single person company registered with Ministry of Industry and Commerce, Kingdom of Bahrain, under the commercial registration number 49063-01 dated 27 July 2002.

The principle activity of the Company is to provide (i) Consultancy services for computer system use and operation (ii) Computer software design, development and maintenance and (iii) Consultancy for computer hardware and software.

2. Basis of preparation

2.1. Statement of compliance

These financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS"), being standards and interpretations issued by the International Accounting Standards Board ("IASB"), in force at 31 December 2013, and the applicable provisions of the Bahrain Commercial Companies Law Decree No. 21 of 2001.

2.2. Basis of measurement

These financial statements have been prepared under the historical cost convention except for any modifications required by IFRSs referred to in the accounting policies given below, and are prepared in Bahraini Dinars (BD) which is the functional currency of the Company.

The preparation of financial statements in conformity with IFRSs requires the use of certain critical accounting estimates. It also requires management to exercise judgment in the process of applying the Company's accounting policies.

2.3. Going concern

These financial statements are prepared on the basis that the Company is a going concern and will continue in operations for the foreseeable future and it has no intention or necessity to liquidate.

2.4. Application of new and revised pronouncements

For the preparation of these financial statements, the following new, revised or amended pronouncements are mandatory for the first time for the financial year beginning 1 January 2013 (the list does not include information about new or amended requirements that affect interim financial reporting or first-time adopters of IFRS since they are not relevant to the Company).

2.4.1. Amendments to IAS 1 titled Presentation of Items of Other Comprehensive Income (issued in June 2011) - These amendments, that are effective retrospectively, enhance the presentation of the components of other comprehensive income. The Company is required to group items presented in other comprehensive income based on whether or not they will be reclassified to profit or loss subsequently. Since, this is not mandatory, the Company has not applied the new terminology for "income statement", i.e. "statement of profit or loss". The non-application of the amendments did not have any impact other than on the presentation of items of other comprehensive income.

2.4.2. Amendments to IAS 1 Presentation of Financial Statements (Annual Improvements to IFRSs 2009-2011 Cycle, issued in May 2012) - The amendments clarify that additional comparative information is not necessary for periods beyond the minimum required by IAS 1. However, if voluntarily presented, it should be in accordance with IFRS, without triggering a requirement to provide a complete set of financial statements. They also clarify that, in the case of changes in accounting policies retrospectively or a retrospective restatement or reclassification which has a material effect on the information in the statement of financial position at the beginning of the preceding period, the Company should present the statement of financial position at the end of the current period and the beginning and end of the preceding period. However, other than disclosure of certain specified information, related notes are

not required to accompany the opening statement of financial position as at the beginning of the preceding period. It has had no impact on the Company's financial statements.

2.4.3. Amendment to IAS 16 Property, Plant and Equipment (Annual Improvements to IFRSs 2009-2011 Cycle, issued in May 2012) - The amendment clarifies that items such as spare parts, stand-by equipment and servicing equipment should be recognised as property, plant and equipment when they meet the definition in IAS 16 and as inventory otherwise. It has had no impact on the Company's financial statements.

2.4.4. Revised IAS 19 Employee Benefits (issued in June 2011) - The key amendments include elimination of the "corridor approach", modification of accounting for termination benefits and improvement of the recognition, presentation and disclosure requirements for defined benefit plans. The amendments have been applied retrospectively in accordance with IAS 8 (except for changes to the carrying value of assets that include employee benefit costs in the carrying amount). The amendments have had no material effect on the Company's financial statements.

2.4.5. Amendment to IAS 32 Financial instruments: Presentation (Annual Improvements to IFRSs 2009-2011 Cycle, issued in May 2012) - The amendment clarifies that income tax relating to distributions to holders of an equity instrument and to transaction costs of an equity transaction should be accounted for in accordance with IAS 12. It has had no impact on the Company's financial statements.

2.4.6. IFRS 13 Fair Value Measurement (issued in May 2011) - The new standard defines fair value, sets out a single framework for measuring fair value and requires disclosures about fair value measurements. IFRS 13 applies when other standards require or permit fair value measurements. It does not introduce any new requirements to measure an asset or a liability at fair value, change what is measured at fair value in IFRS or address how to present changes in fair value. The new requirements have been applied prospectively. In addition, specific transitional provisions were given to entities such that they need not apply the disclosure requirements set out in the Standard in comparative information provided for periods before the initial application of the Standard. Other than the additional disclosures wherever required, the application of IFRS 13 has had no material effect on the Company's financial statements. Also, in accordance with the standard's transitional provisions, the Company has not made any new disclosures required by IFRS 13 for the comparative period.

2.5. New and revised pronouncements in issue but not yet effective

The Company has not applied the following new, revised or amended pronouncements that have been issued by the IASB but are not yet effective for the financial year beginning 1 January 2013 (the list does not include information about new requirements that affect interim financial reporting or first-time adopters of IFRS since they are not relevant to the Company).

The management anticipate that the new standards, amendments and interpretations will be adopted in the Company's financial statements when they become effective. The Company has assessed, where practicable, the potential impact of all these new standards, amendments and interpretations that will be effective in future periods.

2.5.1. Amendments to IAS 32 titled Offsetting Financial Assets and Financial Liabilities (issued in December 2011) - The amendments address inconsistencies in current practice when applying the offsetting criteria in IAS 32, mainly by clarifying the meaning of "currently has a legally enforceable right of set-off" and that some gross settlement systems may be considered equivalent to net settlement. They are effective for annual periods beginning on or after 1 January 2014, with retrospective application. As the Company does not have offsetting arrangements in place, the management do not anticipate any effect on its financial statements.

2.5.2. Amendments to IAS 36 titled Recoverable Amount Disclosures for Non-Financial Assets (issued in May 2013) - The amendments reduce the circumstances in which the recoverable amount of assets or cash-generating units is required to be disclosed, clarify the disclosures required, and introduce an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount (based on fair value less costs of disposal) is determined using a present value technique. They are effective for annual periods beginning on or after 1 January 2014.

2.5.3. IFRS 9 Financial Instruments (issued in November 2009 and amended in October 2010) - This standard introduces new requirements for the classification and measurement of financial assets and financial liabilities and for derecognition.

- IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of each accounting period. All other debt investments and equity investments are measured at their fair value at the end of each accounting period.
- The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in fair value of a financial liability, that is designated as at fair value through profit or loss, attributable to changes in the credit risk of that liability. Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Currently, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as at fair value through profit or loss is recognised in profit or loss.
- The derecognition provisions are carried over almost unchanged from IAS 39.

IFRS 9 is effective for annual periods beginning on or after 1 January 2015, by which time it will include requirements and guidance on impairment and hedge accounting. The management anticipate that IFRS 9 will be adopted in the Company's financial statements when it becomes mandatory and that they do not anticipate any material effect on the Company's financial assets and financial liabilities. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

3. Significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

3.1. Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and impairment, if any. Depreciation is charged to the statement of comprehensive income by applying the straight line method to allocate cost over their estimated useful life at the following annual rates:

Furniture and equipment	25%
Motor vehicle	15%

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each statement of financial position date. Assets that are subject to amortization are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use.

Major renewals and improvements are capitalized. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are recognized in the statement of comprehensive income during the financial period in which they are incurred.

Gains or losses on the disposal of property, plant and equipment are recognized in the period in which disposal is made and dealt with through the statement of comprehensive income.

3.2. Trade and other receivables

Trade and other receivables are recognized initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of trade and other receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables.

3.3. Cash and cash equivalents

Cash and cash equivalent comprises of bank balance.

3.4. Employee benefits and entitlements

3.4.1. Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organization in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of comprehensive income in the period to which they relate. In respect of this plan, the Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The contract employees are not eligible for the leaving indemnity in accordance to their terms of contract. The Company accrues for its liability in this respect on an annual basis.

3.4.2. Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

3.5. Other payables

Other payables are recognized initially at the transaction price and subsequently measured at amortized cost using the effective interest method.

3.6. Related party transactions

Related parties comprise the owner, directors and such other entities over which the Company, its owner or its directors can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

3.7. Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the service rendered in the ordinary course of the company's activities. Revenue is shown net of rebates and discounts.

The company recognise revenue when the amount of revenue can be reliably measured; it is probable that future economic benefits will flow to the entity.

Revenue from services is recognized on basis of the terms of contract.

Other income is recognised on accrual basis unless the collection is in doubt.

3.8. Leases

Leases in which substantially all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the statement of comprehensive income on a straight-line basis over the period of the lease.

4. Critical accounting judgements and key estimations

The preparation of financial statements in conformity with approved IFRSs requires use of certain critical accounting estimates, judgments and assumptions. These are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Followings are the critical accounting estimates, judgments and assumptions used in preparing these financial statements:

- a) Economic useful lives of property, plant and equipment;
- b) Provisions;
- c) Contingencies; and
- d) Impairments.

4.1. Economic useful lives of property, plant and equipment

The Company reviews useful life and residual value of property plant and equipment on regular basis. Any change in estimates may affect the carrying amounts of the respective items of property, plant and equipment with a corresponding effect on the depreciation charge.

4.2. Provisions

Provisions are recognized when there are present, legal or constructive obligations as a result of past events, it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amounts can be made. Provision for guarantee claims and other off balance sheet obligations is recognized when intimated and reasonable certainty exists to settle the obligations.

4.3. Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

4.4. Impairments

4.4.1. Impairment of financial assets

The Company assesses at each statement of financial position date whether there is objective evidence that a financial asset or a group of financial assets is impaired.

4.4.2. Impairment of non-financial assets

Non-financial assets are reviewed for impairment at each financial position date or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss or reversal of impairment loss is recognized in the statement of comprehensive income. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. A reversal of the impairment loss is restricted to the original cost of the asset.

5. Property, plant and equipment

	Furniture and equipment	Motor vehicle	Total
Cost:			
At 31 March 2013	3,157	6,000	9,157
At 31 March 2014	3,157	6,000	9,157
Accumulated Depreciation:			
At 31 March 2013	2,927	4,897	7,824
Charge for the year	48	897	945
At 31 March 2014	2,975	5,794	8,769
Carrying amount:			
At 31 March 2013	230	1,103	1,333
At 31 March 2014	182	206	388

6. Trade and other receivables

	2014	2013
Trade receivables	117,133	96,341
Provision for doubtful receivables (note: 6.1)	(25,987)	(25,987)
	91,146	70,354
Unbilled revenue	5,400	3,880
Receivables from related parties (note 6.2)	1,935	1,684
	98,481	75,918

6.1. Provision for doubtful receivables

	2014	2013
Opening balance	25,987	25,091
Provision made during the year	-	896
	25,987	25,987

6.2. Receivables from related parties

	Relationship	2014	2013
Mindteck India Limited	Parent company	1,935	1,684
		1,935	1,684

7. Advances and prepayments

	2014	2013
Advance to employees	543	578
Prepayments	2,739	1,388
	<u>3,282</u>	<u>1,966</u>

8. Bank balance

	2014	2013
HSBC Middle East Limited	26,947	49,854
	<u>26,947</u>	<u>49,854</u>

9. Share capital

The share capital of the Company is BD 50,000 (2013: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

10. Statutory reserve

Under the provisions of the Bahrain Commercial Companies Law, an amount equivalent to 10% of the Company's net profit before appropriations is required to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year BD 2,737 has been transferred to such reserve out of current year's net profit before appropriations (2013: BD 19).

11. Employee terminal benefits

	2014	2013
Opening balance	2,250	445
Provision for the year	1,594	1,805
Payments during the year	(3,844)	-
	<u>-</u>	<u>2,250</u>

12. Other payables

	2014	2013
Other payables	2,379	12,600
Payable to related parties (note : 12.1)	82,205	89,789
	<u>84,584</u>	<u>102,389</u>

12.1. Payable to related parties

	Relationship	2014	2013
Mindteck India Limited	Parent company	11,763	363
Mindteck Inc, USA	Sister concern	70,442	89,426
		<u>82,205</u>	<u>89,789</u>

13. Employee cost

	<u>2014</u>	<u>2013</u>
Salary	31,004	26,972
Employee related cost	10,642	13,524
	<u>41,646</u>	<u>40,496</u>

14. General and administrative expenses

	<u>2014</u>	<u>2013</u>
Rent	5,702	4,879
Travelling	9,351	6,501
Communication	2,026	1,869
Professional and legal charges	1,034	1,567
Marketing and distribution expenses	1,021	764
Bank charges	779	713
Office expenses	1,260	1,366
General expenses	219	1,078
	<u>21,392</u>	<u>18,737</u>

15. Contingencies and commitments

There were no material contingencies known as at the date of the statement of financial position.

The Company leases an office building under a short-term operating lease of two years. The future minimum lease payments payable under non-cancellable operating leases are as follows:

	<u>2014</u>	<u>2013</u>
No later than 1 year	6,017	4,011
Later than 1 year and no later than 5 years	4,011	-
	<u>10,028</u>	<u>4,011</u>

16. Financial instruments and risk management

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balance and trade and other receivables. Financial liabilities include trade and other payables. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

16.1. Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. All financial assets are subject to credit risk. Credit risk on liquid funds is limited because the counter parties are banks with reasonably high credit ratings.

Maximum exposure to credit risk before other credit enhancements are as follows; the exposures set out below are based on net carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2014	2013
Bank balance	26,947	49,854
Trade and other receivables	98,481	75,918
	125,428	125,772

16.2. Foreign exchange risk

The risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company's transactions are either in Bahraini Dinars or United States Dollars, hence there is no significant foreign exchange risk.

16.3. Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements.

The maturity analysis of financial assets and liabilities at 31 March is as follows:

2014:

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years	Greater than 5 years
Assets					
Bank balance	26,947	26,947	-	-	-
Trade and other receivables	98,481	98,481	-	-	-
	125,428	125,428	-	-	-
Liabilities					
Other payables	84,584	84,584	-	-	-
Accrued liabilities	12,145	12,145	-	-	-
Employee terminal benefits	-	-	-	-	-
	96,729	96,729	-	-	-

2013:

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years	Greater than 5 years
Assets					
Bank balance	49,854	49,854	-	-	-
Trade and other receivables	75,918	75,918	-	-	-
	125,772	125,772	-	-	-
Liabilities					
Other payables	102,389	102,389	-	-	-
Accrued liabilities	19,428	19,428	-	-	-
Employee terminal benefits	2,250	-	-	2,250	-
	124,067	121,817	-	2,250	-

16.4. Fair value of financial assets and liabilities

The carrying value of all financial assets and liabilities reflected in the financial statements approximate their fair values at the statement of financial position date.

17. Rounding off

All the figures have been rounded off to the nearest Bahraini Dinar.

18. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison.